

Study Guide — Module 1 Evaluation - Slot 1

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This guide compiles the key concepts you need for your upcoming evaluation. Work through each section in order — it moves from foundations, to market understanding, to ideation, to proposition design, to feasibility and revenue. Focus on the worked examples and definitions, and use the key terms at the end of each section to self-test.

1. What Is a Product, and What Is Product Management?

1.1 Defining a product

Philip Kotler's classical marketing definition: a **product** is anything offered to a market to satisfy a need. Products can be:

- **Tangible** (physical goods — laptops, shoes) or **intangible** (services — hotel stays, IT services)
- **B2B** (Business to Business — sold by one business to another, e.g., industrial paper) or **B2C** (Business to Consumer — sold directly to consumers, e.g., mobile phones, consumer apps)
- **Durable** (electronics) vs **Non-durable** (bread)
- **Convenience** (commonly purchased products), **Specialty** (unique/luxury items), or **Unsought** (products people don't actively seek but need — insurance is the classic example)
- **Digital, Physical, or Hybrid** — most modern products blend digital and physical elements (e.g., airline services with companion apps, smartwatches). Digital products include software applications, online platforms, and digital content; **AI products** are a subset with embedded AI functionality.

1.2 The Product Manager role

A product manager (PM) is often described as the “**CEO of the product.**” Responsibilities: defining product vision, strategy, and roadmap; collaborating with engineering, sales, marketing, and customer service. Crucially, PMs do **not** usually have direct authority over these teams — they coordinate and influence cross-functional stakeholders rather than command them. A useful mental model: PMs orchestrate teams the way a conductor leads an orchestra — harmonizing inputs without personally performing every part.

- The product a PM owns can be a whole product or a single feature within a larger product.
- PMs benefit from understanding enough technical detail to question and communicate with engineering — building basic skills (MVP or proof-of-concept construction) is valuable even though PMs aren’t expected to be engineers.
- The role has grown more dynamic and data-driven with digital transformation and AI integration.

1.3 Where the PM role came from

The PM role originally evolved from **brand management** — a discipline whose most widely cited origin point is Procter & Gamble’s 1930s brand-management model. Indian companies historically associated with this brand-management lineage include ITC and Hindustan Lever. Over time, the role transitioned from managing physical, packaged products to today’s digital and AI products.

- **No single career path** exists into product management. PMs come from wildly varied backgrounds: engineering, UX/UI, marketing, data analytics, domain expertise, and even non-technical fields (dentistry, biology). The common thread is leveraging existing domain knowledge alongside newly acquired PM skills.
- The role demands **patience and adaptability** — product success is rarely a straight line.

1.4 Product Management vs Project Management

These are frequently confused because both are abbreviated “PM,” but they are distinct:

	Product Management	Project Management
Focus	Vision, strategy, market fit, customer needs, business success	Execution, timelines, resources, delivery of a build

Many organizations use a project management role as a stepping stone into product management, but the two disciplines work closely together while remaining distinct.

1.5 Skills and characteristics of a strong PM

Multitasking, problem-solving, staying calm under pressure, risk-taking, agile decision-making, negotiation, and empathy toward customers. PMs coordinate people from diverse (sometimes volatile) backgrounds — marketing, sales, engineering — and serve as the calm center in the chaos. Calmness and comfort with ambiguity are less about following a checklist and more about temperament built through repeated exposure to ambiguous situations. There is no prerequisite technology or domain background required — iconic PMs like Steve Jobs succeeded without a formal technical background.

1.6 Where PM experience is richest

- **Startups** offer the richest PM experience due to broad exposure and flat hierarchies.
- **India-focused digital companies** (e.g., Ola, Paytm) offer strong PM environments.
- **Traditional Indian brand companies** provide good experience, though less on the digital side.
- **Global Capability Centers (GCCs)** in India (e.g., Salesforce, Microsoft) mainly execute tasks assigned by global teams without owning product decisions — this limits genuine PM ownership experience. (Example: Microsoft India's GCC developed only one original product, Kaizala, in 25 years, and it was eventually discontinued.)
- **Large Indian IT services firms** focus more on services delivery than product ownership, offering fewer product management roles.

Key terms: Kotler's product definition · B2B/B2C · durable/non-durable · convenience/specialty/unsought · digital/physical/hybrid · "CEO of the product" · orchestra-conductor coordination role · brand management origin · Product Management vs Project Management · GCC (Global Capability Center)

2. Markets, Product-Market Fit, and Planning Frameworks

2.1 What is a market?

A **market** is a specific group of potential customers with a need for the product. Markets can be classified as:

- **Consumer markets (B2C)** — including mass markets and niche markets
- **Enterprise markets (B2B)** — SMEs, mid-market, and large enterprises
- **Vertical markets** — healthcare, education, retail
- **Geographic markets** — urban, rural, regional
- **Psychographic segments** — health-conscious, eco-conscious

2.2 Product-Market Fit (PMF) and the Lean Startup approach

PMF means aligning the product with a market's needs. Without PMF, the product will fail regardless of how good it is — engineering quality alone cannot compensate for a market mismatch. IKEA's DIY furniture model struggling in non-DIY-oriented markets like India illustrates how design must adapt to the specifics of a market.

PMF is pursued through the **Lean Startup approach**: ideation → forming falsifiable hypotheses → testing via a **Minimum Viable Product (MVP)** → analyzing results → iterating.

2.3 AI's impact on products and markets

AI enables **hyper-personalization**, product recommendations, and **dynamic pricing** — marketplaces are being disrupted as AI removes intermediaries. Example: ride-hailing apps like Uber and Ola adjust prices dynamically in real time in response to competitor pricing and demand.

2.4 Product and market planning framework

Company planning flows top-down: **corporate plans** → **divisional plans** → **functional plans** (R&D, marketing, engineering, sales, legal, finance, HR). Product strategy typically sits within or alongside the marketing function, coordinating with R&D, engineering, and sales.

Two paths exist in product planning: 1. **Managing existing products** — focus on sales and marketing enablement. 2. **Developing new products** — discovery, design, feasibility, launch, project management. New products may be startups or new internal offerings within established companies. Feature launches are similar to product launches but require less intense launch activity.

2.5 Case walkthrough: Tech Adu

Tech Adu offered online short-term courses (Technology, Project Management, Analytics) as digital products, serving both B2C (students) and B2B (IT companies) markets. It faced revenue stagnation from competition and free alternatives. The strategic diagnostic questions used to analyze a situation like this: **“Where are we? Where can we be? How can we get there?”**

2.6 Product life cycle

Products move through: **Development** → **Introduction** → **Growth** → **Maturity** → **Decline**. Tech Adu, in the case above, sits between maturity and decline, signaling the need for strategic action.

Digital product life cycles have **shrunk**, often to just 2-3 years, because digital disruption accelerates the pace of change — even established monopolies, which may see longer cycles, are not immune to this compression.

2.7 SWOT and organizational strategy tools

SWOT analysis (Strengths, Weaknesses, Opportunities, Threats) is a foundational framework for determining an organization's current status before planning next

steps. A framework for planning **growth strategy** specifically (the **Ansoff Matrix**) is introduced in the next module of content — see Section 3.

2.8 Products vs features (organizational lens)

Features are distinct from products — e.g., Swiggy is the overall product, while Swiggy One (a subscription membership layer) is a feature within it. At junior levels, PMs often work on developing individual features rather than owning entire products.

2.9 Organizational structures for product management

Two common structures: 1. **Coordinated structure** — product managers lead products and coordinate with separate engineering, marketing, and sales teams. Large companies typically favor this for cost efficiency. 2. **Fully integrated teams** — engineering, marketing, and sales embedded directly under the product head. Mostly obsolete except in small startups.

2.10 Practical exercise mentioned

A simulation, “Day in the Life of a Product Manager,” built on ChatGPT, was introduced to let students experience realistic PM decision-making scenarios with feedback, progressing from beginner to advanced levels.

Key terms: market segmentation (B2C/B2B/vertical/geographic/psychographic) · Product-Market Fit (PMF) · Lean Startup (ideation → hypothesis → MVP → iterate) · hyper-personalization · dynamic pricing · corporate→divisional→functional planning · product life cycle (Development/Introduction/Growth/Maturity/Decline) · SWOT · coordinated vs fully-integrated org structure

3. Market and Competitive Scanning

3.1 The Ansoff Matrix — four growth strategies

The Ansoff Matrix maps growth strategy against two axes (products × markets):

	Existing Product	New Product
Existing Market	Market Penetration — grow via marketing, promotions, packaging changes	Product Development — introduce new products to an existing market, leveraging brand recognition
New Market	Market Development — take existing products to new markets/segments	Diversification — new products in new markets; highest-risk strategy

Real examples: **Reliance** moved from petrochemicals into telecom (Diversification). **ITC** leveraged its existing distribution network to enter the food business (Product

Development in an existing market/customer base). Companies allocate budgets across all four quadrants to balance risk and growth.

3.2 Why market scanning matters

Market scanning helps PMs identify emerging trends and new customer needs, competition and market gaps, regulatory changes and risks, and opportunities to benchmark innovation. It draws on both internal data (e.g., a streaming platform analyzing genre-specific viewer trends) and external data.

3.3 PESTLE — macro-environment analysis

Six macro-environmental factors:

- **Political** — laws, policies, government stability (e.g., new education policy affecting language-learning apps)
- **Economic** — GDP, inflation, unemployment affecting purchasing power and paid subscriptions
- **Social** — demographics, lifestyle, migration, travel trends affecting demand
- **Technological** — AI advancements, substitute technologies (e.g., Google Translate as a substitute for a paid language app)
- **Legal** — data privacy laws, copyright rules
- **Environmental** — ESG issues, sustainability expectations

Example walkthrough: Duolingo was analyzed through the PESTLE lens to understand macro-level market impacts.

3.4 Porter's Five Forces — micro/competitive analysis

Five forces determine competitive intensity: 1. Rivalry among existing competitors 2. Threat of new entrants 3. Threat of substitute products 4. Bargaining power of suppliers 5. Bargaining power of buyers

Applied to Duolingo: buyer power is medium-to-high (many alternatives exist); supplier power is low (content creators are replaceable, and content can be AI-generated); substitute threat is high (e.g., Google Translate); threat of new entrants is medium-to-high given Duolingo's market dominance; rivalry is medium with several competitors.

PESTLE vs Porter's Five Forces: PESTLE scans the **macro** environment (broad external forces); Porter's Five Forces analyzes the **micro/competitive** environment (industry-level rivalry). They are complementary, not overlapping — the six PESTLE factors are distinct from the five competitive forces.

3.5 Competition beyond direct rivals — levels of competition

- **Customer-based** — alternate solutions providing the same customer benefit (e.g., video-conferencing tools substituting for corporate air travel)
- **Market-based** — direct competitors in the same product category
- **Geographic-based** — competitors operating in the same region
- **Resource-based** — competition for shared resources (skilled labor, fuel, infrastructure)

Illustrative example: an airline's biggest competitive pressure for corporate-travel bookings may come not from other airlines but from virtual meeting platforms substituting for the need to travel at all — a customer-based competitive threat.

3.6 Tools mentioned for practice

A custom GPT-driven market-scanning tool was introduced as a practical aid for applying PESTLE/Porter's-style analysis. Future sessions build on this with deeper competition analysis and ideation techniques (see Section 4).

Key terms: Ansoff Matrix (Market Penetration / Market Development / Product Development / Diversification) · PESTLE (Political, Economic, Social, Technological, Legal, Environmental) · Porter's Five Forces (rivalry, new entrants, substitutes, supplier power, buyer power) · customer-based / market-based / geographic-based / resource-based competition

4. Product Ideation

4.1 Where product ideas come from

- **Customer feedback** — the primary and most direct source
- **Unexpected occurrences** — e.g., a drug originally developed for one condition (diabetes treatment) being repurposed after trial observations revealed a valuable side effect (weight loss)
- **Incongruities** — situations where something “doesn't feel right” (e.g., ride-hailing apps emerging because hailing a taxi on the street was frustratingly hard)
- **Market and industry changes** — social media, demographic shifts, changing consumer values (e.g., sustainability), emerging technology (blockchain, AI, VR)

For **existing products**, new feature ideas typically come from: user feedback/complaints, usage-data analysis, frontline input (marketing/sales/support), and internal teams (engineering/design) proposing new capabilities. Effective feature development should be validated from **multiple sources** to avoid reactionary, single-signal changes.

4.2 Competition and innovation intelligence

Competition extends beyond direct market rivals — indirect competitors (e.g., streaming services affecting sales of a completely different product category like clothing) matter too. PMs should analyze customer spending habits and the broader ecosystem to map all real competitors, not just obvious ones.

Competitive-intelligence tools: established research firms (Forrester, Gartner) are reliable but costly; AI tools (e.g., machine-learning-driven competitive intelligence platforms) gather and analyze competitive data more efficiently, but AI tools generally (including custom GPT agents for market scanning, idea generation, and simulation) must be used cautiously due to the risk of hallucinated or outdated information.

4.3 Blue Ocean Strategy and the ERRC grid

Developed as a complement to Porter's Five Forces. Distinguishes: - **Red Ocean** — competing in an existing, crowded market - **Blue Ocean** — creating a new, uncontested market space where competition is irrelevant, allowing simultaneous pursuit of cost advantage *and* differentiation

The **ERRC grid** identifies the strategic moves that create a Blue Ocean: - **Eliminate** — remove factors the industry competes on that no longer add value - **Raise** — push factors well above industry standards - **Reduce** — lower factors below industry standards - **Create** — introduce factors the industry has never offered

Worked examples: - **Tesla** — eliminated internal combustion engines and traditional dealerships; raised battery performance; reduced complexity; created new service models. - **A music-streaming platform's India strategy** — eliminated complex pricing; raised regional-language content and user engagement (user-generated content, podcasts); reduced cluttered UI; created vernacular voice search and educational content.

4.4 SCAMPER technique

A creative-thinking checklist applied to an existing product to generate variations:

- **Substitute** — what can be replaced? (e.g., swap in regional-language music for global catalogue content)
- **Combine** — what can be merged? (e.g., combining astrology content with curated playlists)
- **Adapt** — how can the product be altered for a new use? (e.g., children's music tailored with India-specific content)
- **Magnify/Modify** — change size or function (e.g., sponsoring neighborhood listening rooms)
- **Put to another use** — repurpose the product for a different goal (e.g., using the app for concert discovery)
- **Eliminate** — remove an element (e.g., stripping ads from the free tier)
- **Rearrange/Reverse** — change the order or perspective (e.g., showing what listeners in a specific city are streaming)

4.5 Corporate innovation practices

- **Innovation labs** — internal spaces where employees experiment with new ideas (e.g., a large tech company's internal "labs" initiative)
- **Incubation labs** — support startups or internal teams in developing new products
- **Open innovation** — companies collaborate openly with external partners, academia, and startups to accelerate innovation (e.g., a pharmaceutical company's open research collaborations)

AI supports multiple stages of ideation — from problem framing to customer simulation — but real-world validation with actual customers remains essential; AI cannot substitute for it.

4.6 What comes after ideation

The next steps in the product lifecycle after ideation are developing the **value proposition** and building the **business plan** (covered in Sections 5 and 6).

Key terms: incongruity · Blue Ocean vs Red Ocean · ERRC grid (Eliminate/Raise/Reduce/Create) · SCAMPER (Substitute/Combine/Adapt/Magnify-Modify/Put to another use/Eliminate/Rearrange-Reverse) · innovation labs · incubation labs · open innovation

5. Product Propositions: Jobs to Be Done and Value Proposition

5.1 Jobs to Be Done (JTBD)

JTBD explains **why** a customer would pay for a product by identifying the “jobs” or tasks it helps them accomplish — going beyond a features list to the *reason* behind a purchase. A product must fulfill both:

- **Functional Jobs** — practical tasks (e.g., a car takes you from point A to B)
- **Emotional Jobs** — personal and social feelings tied to the product (e.g., status, confidence)

Both must be satisfied for a product to succeed — satisfying only the functional side is not enough.

5.2 Value Proposition and the Value Proposition Canvas

A **Value Proposition** is a clear statement explaining why customers would buy your product — summarizing the benefits and how it solves customer problems. It builds on JTBD, then elaborates:

- **Customer Pains** — challenges and frustrations customers face
- **Customer Gains** — positive outcomes and benefits customers expect
- **Value Map** — links the product’s features and services to the relief of pains and the creation of gains

Value propositions should be **specific**, not generic or vague, and are often used as an elevator pitch or an early “press release” exercise inside organizations to validate an idea before building it.

5.3 Case study: Zerodha

Zerodha’s founders identified a gap: existing trading platforms were complex, expensive, and unfriendly to new traders. Zerodha’s value proposition centered on **simplified, fast, and transparent trading with low costs**, addressing:

- **Functional needs** — easy trading, multi-product trading
- **Emotional needs** — trust, empowerment (built through Varsity, an educational portal that reduces user pain points around not understanding markets)

Target customers: retail investors, DIY traders, Gen Z and millennial traders. This illustrates applying JTBD + Value Proposition together to design a product that meets real, specific customer needs — critical given that roughly 95% of startup products fail, often due to skipping this discipline.

5.4 Documentation and frameworks in PM work

Disciplined documentation and structured frameworks (JTBD, Value Proposition Canvas) organize ideas, clarify goals, and improve a product's chances of success. Documentation occupies a large share of a PM's time — commonly cited as up to 70%. These frameworks also facilitate team discussions, prioritization, and clear communication with investors or stakeholders — especially important for entrepreneurs seeking funding.

5.5 AI in product-proposition work

AI tools can assist with research, drafting JTBD statements and value propositions, and simulating customer feedback — including generating personas for testing and iterative refinement. However, AI outputs require caution due to the risk of hallucination or inaccuracy; they supplement, not replace, structured thinking and real customer validation. (A demo applied an AI-based value-proposition simulator to a hypothetical product idea — an auto-heating coffee cup aimed at urban office workers and bachelors — purely as a tool demonstration.)

5.6 Product development lifecycle (overview)

The full lifecycle flows: **ideation** → **market scanning** → **product proposition** → **feasibility checking** → **design** → **funding**. This module's content maps onto the early stages of that flow.

Key terms: Jobs to Be Done (functional job / emotional job) · Value Proposition · Customer Pains / Customer Gains / Value Map · Value Proposition Canvas

6. Feasibility, Business Modeling, and Revenue Planning

6.1 Desirability, Feasibility, Viability (DFV)

Three questions any product idea must clear:

- **Desirability** — do customers actually want or need the product? (Grounded in customer value proposition / JTBD.)
- **Feasibility** — can the product be technically built?
- **Viability** — is it financially feasible — can it be built and sold profitably?

Worked example: a technologically advanced, very expensive smart toaster can be desirable (customers like the idea) and technically feasible (it can be built), yet still fail because it is not financially **viable** — customers won't pay a price high enough to make it profitable.

6.2 Case study: Avica Mind Health

A mental-health startup solving accessibility issues in mental healthcare through technology.

- **Customer segments:** patients and non-patients (people with mild stress/anxiety)
- **Product evolution:** started with adult digital therapy, later expanded to offline therapy and services for children
- **Value propositions:** multilingual support, personalized content, trust built via channel partnerships with doctors and corporates
- **Revenue streams:** individual subscriptions, corporate clients, and potential insurance partnerships
- **Channels:** doctors and corporations (rather than pure direct-to-consumer) for better market penetration

6.3 Market sizing: TAM, SAM, SOM

- **TAM (Total Addressable Market)** — the total market demand for a product/service. (Avica's TAM in India for mental health was estimated at roughly \$3B.)
- **SAM (Serviceable Addressable Market)** — the portion of TAM the company actually targets. (Avica's initial SAM, focused on adult digital therapy, was roughly \$1.8B.)
- **SOM (Serviceable Obtainable Market)** — the portion of SAM the company can realistically capture in the near term (i.e., realistic market share).

Market-sizing data should be validated using secondary sources such as VC industry reports and government data.

6.4 Business model and the Lean Canvas

A **business model** is a structured way to align product, customer, revenue, and operations on a single page. The **Lean Canvas** (a startup-adapted business model framework) has 9 blocks:

Problems · Alternatives · Solutions · Customer Segments · Unique Value Proposition · **Unfair Advantage** · Channels · Key Metrics · Cost Structures · Revenue Streams

Value Proposition vs Unfair Advantage: the Value Proposition captures product uniqueness (why customers buy); **Unfair Advantage** captures the barriers to competition — what stops others from easily copying the business.

6.5 Revenue planning — five steps

1. **Source mapping** — identify who pays for the product (individuals, corporates, insurers, etc.)

2. **Primary Revenue Unit (PRU)** — define the base unit for measuring revenue (per-user subscription, per employee, per member)
3. **Monetization method** — decide how the PRU is charged (subscription fee, pay-per-use, etc.)
4. **Revenue formula** — the calculation model, generally $\text{Revenue} = \text{PRU} \times \text{monetization method}$
5. **Revenue growth** — grow by increasing the number of PRUs or increasing yield per PRU

Applied to Avica: individuals pay via subscription; corporates pay based on employee counts; insurers could pay per insured member. Advertising revenue was considered but rejected to protect user experience and ethical standards.

6.6 PRU examples across industries

- Electricity companies — number of houses/commercial units
- Shoe companies — per pair of shoes sold
- A major search engine — users, advertisers, and publishers are *all* PRUs simultaneously
- A gym — users paying a base fee, plus extra charges for classes/services (multiple monetization methods layered on a single PRU)

6.7 Building a realistic business plan

- Business plans typically span 3-5 years, usually starting with annual projections, later broken into monthly cash-flow detail.
- Incorporate TAM/SAM/SOM to ground revenue targets.
- Use intuition and experience to set realistic revenue ambitions (e.g., targeting a substantial revenue milestone — such as ₹100 crore — within 5 years to attract serious investor interest).
- Validate assumptions against external data and benchmark realistic penetration rates.
- Assess risk/uncertainty for key assumptions (rated high/medium/low).
- Include cost estimates and calculate profitability (Revenue – Cost).
- Understand cash-flow management — this requires monthly detail beyond annual totals.
- Be ready to defend your numbers realistically to investors or internal stakeholders.

Tricks of the trade: - Be conservative in early years; show gradual, believable growth. - Use iterative feedback from informal/early investors before pitching major investors. - Avoid unrealistic “cooked-up” numbers, but stay ambitious enough to be fundable. - Run scenario analysis — deliberately increase costs and decrease revenue assumptions to stress-test viability.

6.8 Additional resources mentioned

Recommended reading: *The Lean Startup*, *Inspired* (Marty Cagan), *Escaping the Build Trap* (Melissa Perri). Staying current via industry podcasts was also encouraged, alongside a motivational anecdote about persistence and growth (astronaut Scott Kelly's story) shared to encourage resilience through the inevitable setbacks of building a product.

Key terms: Desirability / Feasibility / Viability · TAM / SAM / SOM · Lean Canvas (9 blocks) · Unfair Advantage vs Value Proposition · Primary Revenue Unit (PRU) · five-step revenue planning · revenue formula ($\text{PRU} \times \text{monetization method}$)

7. Platforms and Network Effects

7.1 What is a platform?

A **platform** is an infrastructure that enables interactions between two or more groups (individuals or companies), facilitating exchanges such as transactions or innovation.

Types of platforms: - **Transaction Platforms** — enable direct financial transactions between users (e.g., an e-commerce marketplace, a ride-hailing app, a home-rental marketplace) - **Innovation Platforms** — enable technology or information exchange *without* direct transactions being their core purpose (e.g., an app-distribution/ecosystem platform, a mobile operating system) - **Investment Platforms** — connect entrepreneurs with investors (e.g., angel-investor networks) - **Social Platforms** — connect users for communication or sharing (e.g., social networks, professional networks) - **Internal Platforms** — used within a company to connect employees or tools (e.g., enterprise software suites) - **External Platforms** — connect external parties (e.g., a marketplace connecting independent buyers and sellers, or riders and drivers)

One-sided vs Two-sided (multi-sided) platforms: - **One-sided** — the same kind of user interacts with other users of the same type (e.g., a messaging app, a collaborative knowledge-sharing site) - **Two-sided / Multi-sided** — different user types interact (e.g., a marketplace connecting sellers and buyers; a professional network connecting job seekers, recruiters, and advertisers)

7.2 Network effects

A **network effect** occurs when users join a platform *because* others are already there — mutual presence reinforces value for everyone.

- **Same-Side Network Effect** — occurs among users on the *same* side of a platform. For one-sided platforms, this is the primary (often only) network effect.
 - Can be **positive** (more users add value — e.g., a messaging app becomes more useful as more contacts join) or **negative** (too many users cause competition/congestion — e.g., dating apps becoming oversaturated, or drivers on a ride-hailing platform competing harder for the same rides).

- **Cross-Side Network Effect** — occurs between *different* user groups on opposite sides of a platform (e.g., more sellers attract more buyers on a marketplace, and vice versa). Cross-side effects are usually **positive**.

7.3 Case study: network-effect failure

An Indian messaging app (a well-known Indian internet company's product) failed largely due to a **lack of network effect** — users didn't join because their contacts weren't already there, illustrating how critical same-side network effects are for one-sided social/communication platforms.

Key terms: Transaction Platform vs Innovation Platform · Investment / Social / Internal / External platforms · one-sided vs two-sided (multi-sided) platform · same-side network effect (positive/negative) · cross-side network effect